

ECO102: Introduction to Macroeconomics

Lecture 11: Fluctuations in the AS-AD Model

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Outline

- ❑ [Economic Growth and Inflation in the AS-AD Model](#)
- ❑ [The Business Cycle in the AS-AD Model](#)
- ❑ [Fluctuations in Aggregate Demand](#)
- ❑ [Fluctuations in Aggregate Supply](#)

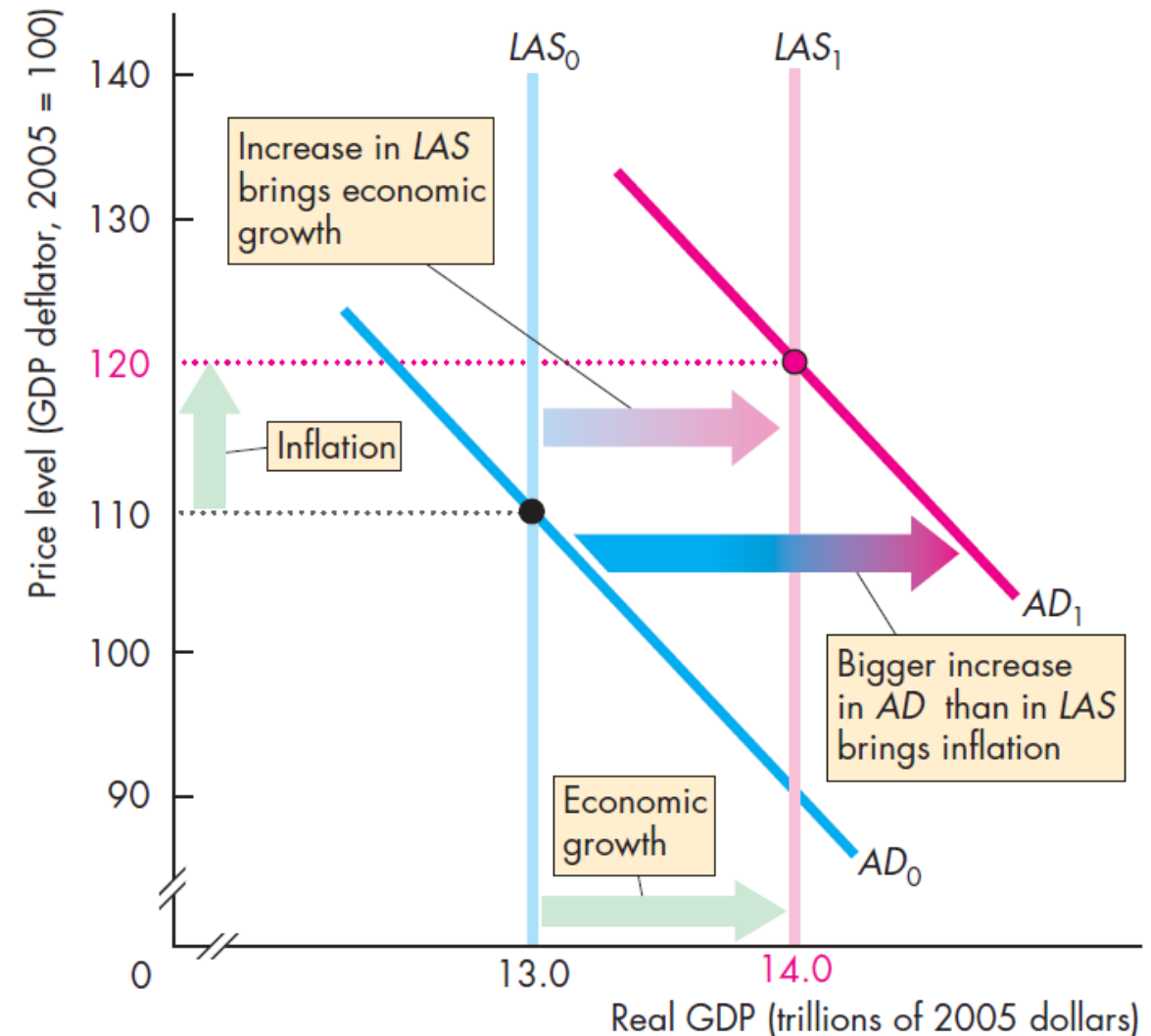
Economic Growth and Inflation in the AS-AD Model

- Economic growth resulting from a growing labor force and increasing labor productivity, makes potential GDP grow
- The AS-AD model explains economic growth as increasing long-run aggregate supply and it explains inflation as a persistent increase in aggregate demand at a faster pace than that of the increase in potential GDP
- The AD curve shifts more than the LAS curve, increasing the price level

Economic Growth and Inflation in the AS-AD Model

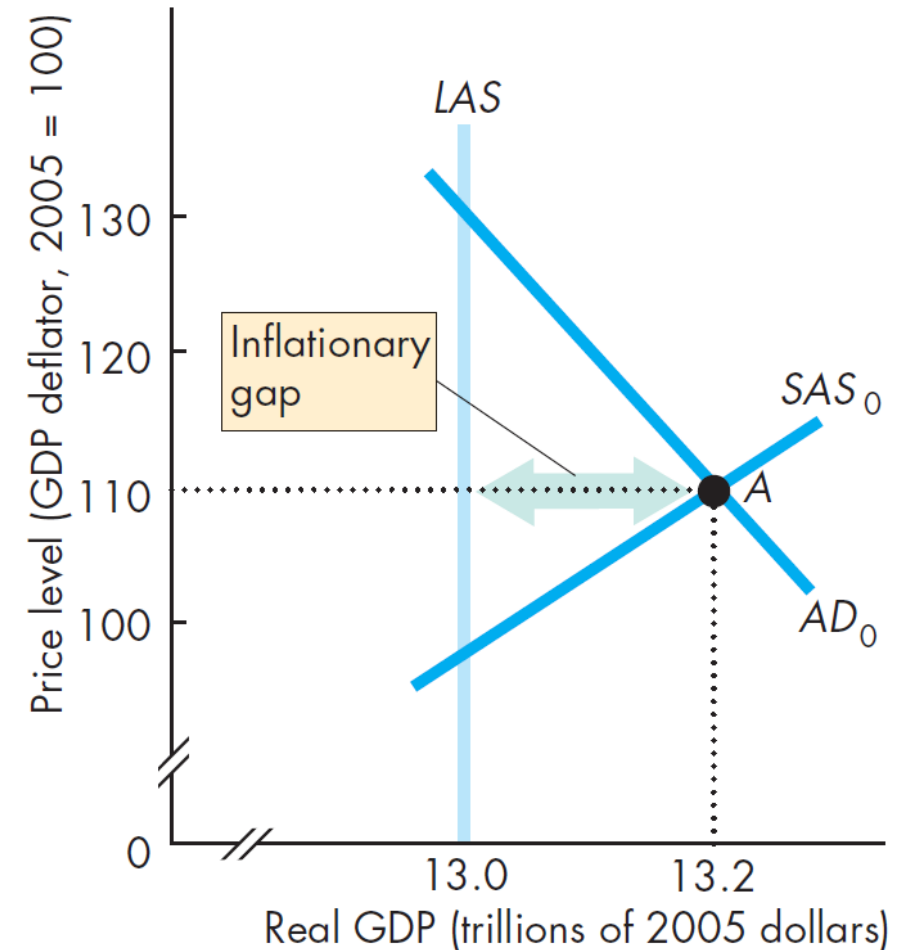
Economic growth results from a persistent increase in potential GDP, a rightward shift of the LAS curve.

Inflation results from persistent growth in the quantity of money that shifts the AD curve rightward at a faster pace than the real GDP growth rate



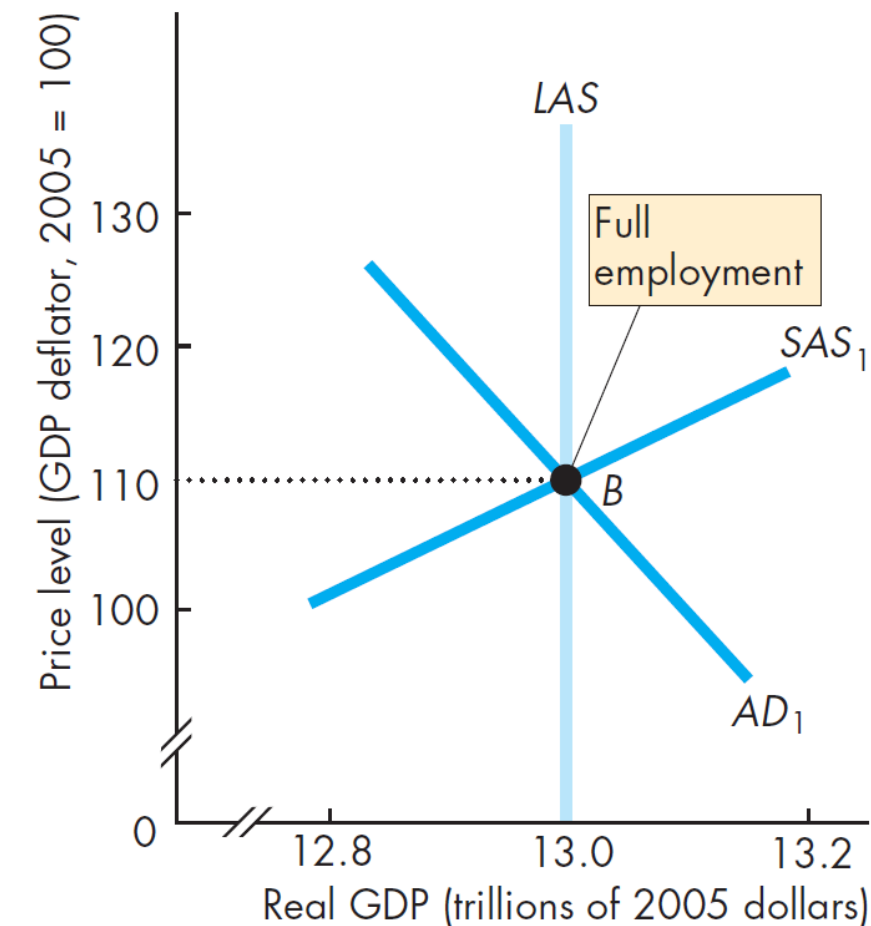
The Business Cycle in the AS-AD Model

- The business cycle occurs because aggregate demand and short-run aggregate supply fluctuate but the money wage rate does not adjust quickly enough to keep real GDP at potential GDP
- When real GDP exceeds potential GDP, the output gap is called an **inflationary gap**



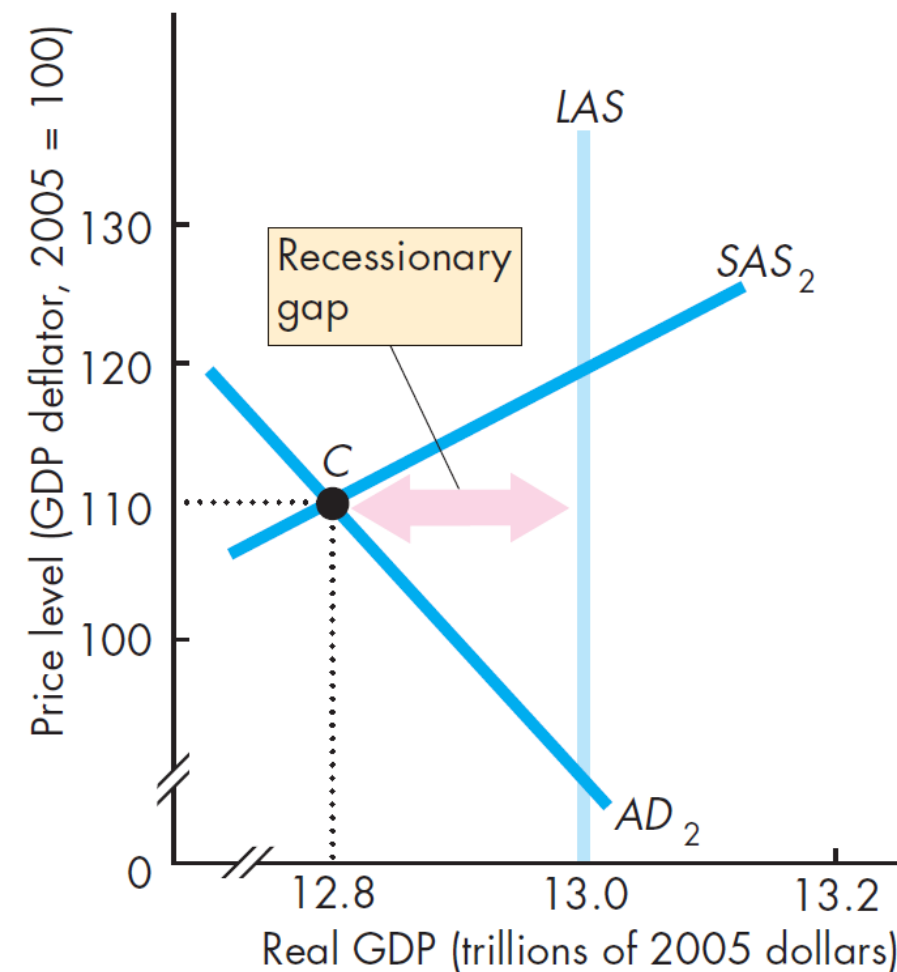
(a) Above full-employment equilibrium

The Business Cycle in the AS-AD Model



At full-employment equilibrium, **real GDP equals potential GDP**

When potential GDP exceeds real GDP, the output gap is called a **recessionary gap**

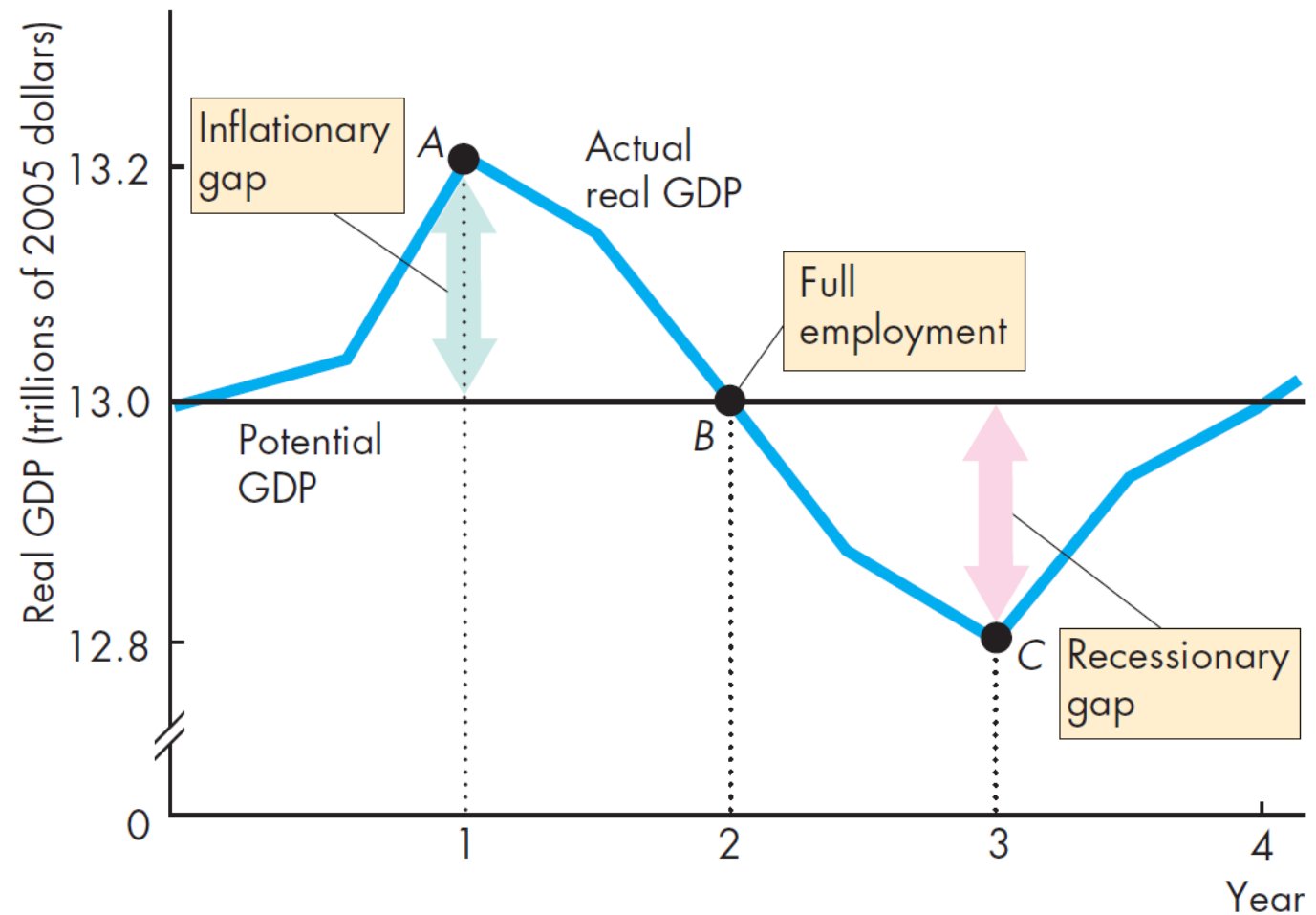


(b) Full-employment equilibrium

(c) Below full-employment equilibrium

The Business Cycle in the AS-AD Model

Real GDP fluctuating around the Potential GDP throughout the business cycle

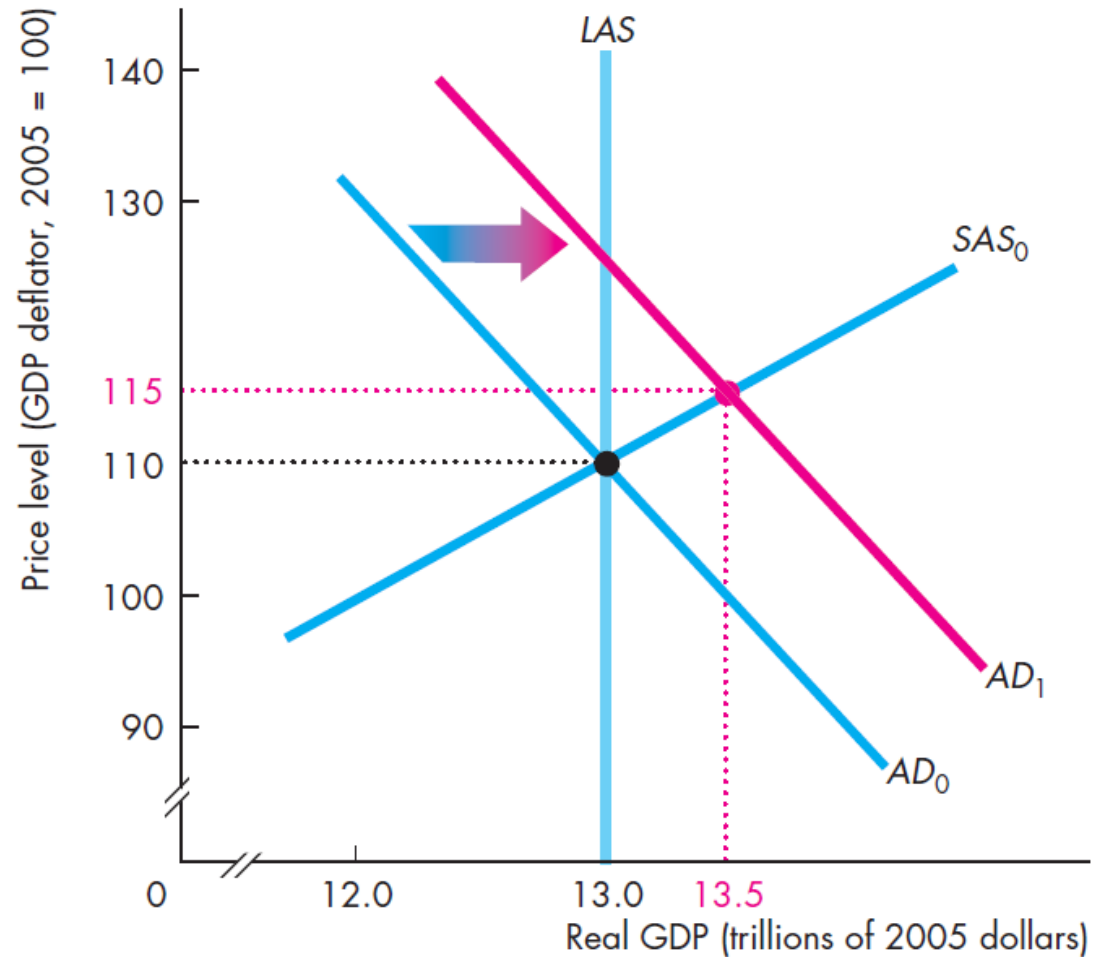


(d) Fluctuations in real GDP

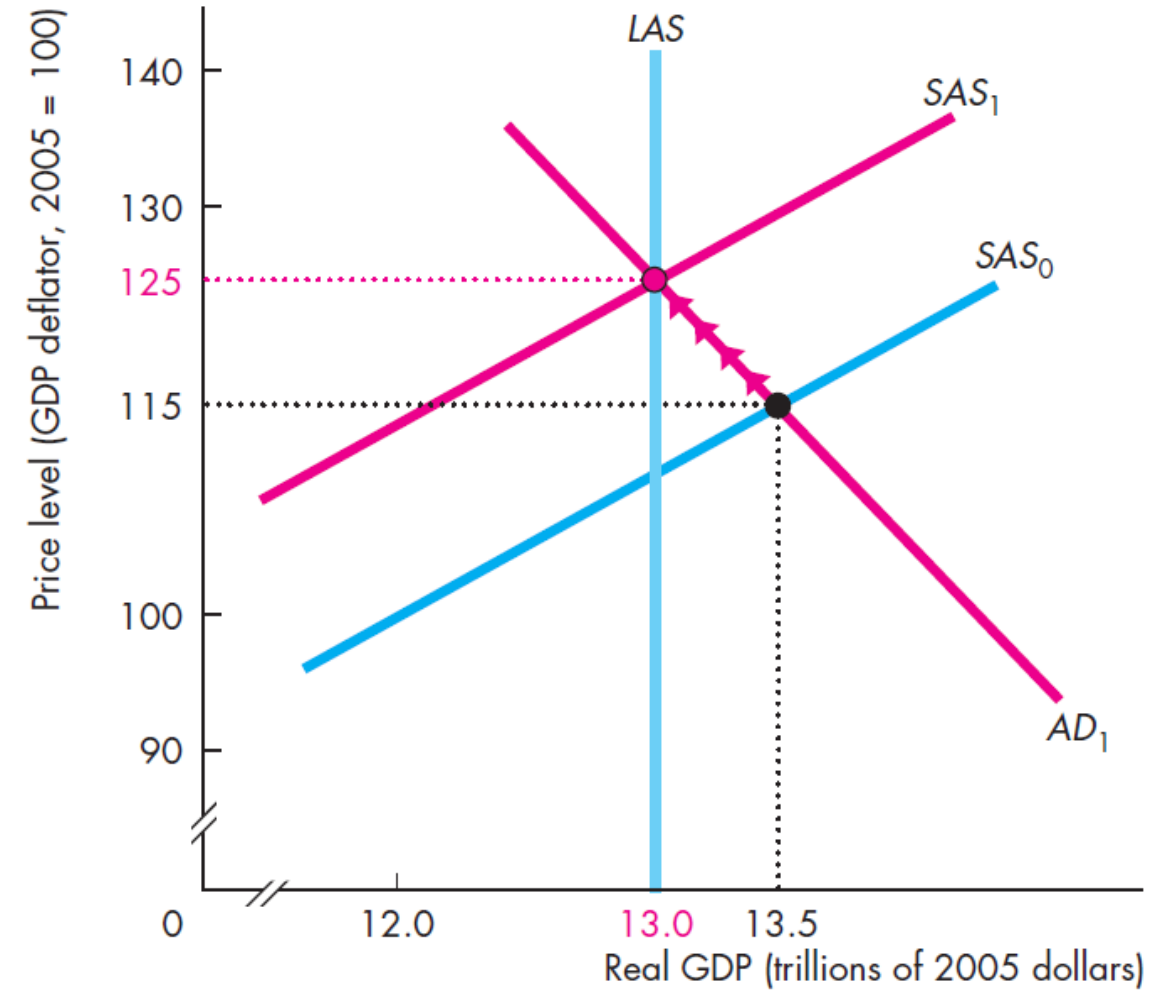
Fluctuations in Aggregate Demand

- An increase in AD, shifts the AD curve to the right
- In the short run, the money wage rate does not change, hence the SAS does not shift and we have a higher real GDP at a higher price level, causing an inflationary gap
- In the long run, the money wage rate increases, shifting the SAS curve to the left, causing real GDP to equal potential GDP, but now at an even higher price level
- The opposite happens when AD decreases
- ***GO THROUGH THE RELEVANT SECTION FROM THE BOOK!!!***

Fluctuations in Aggregate Demand



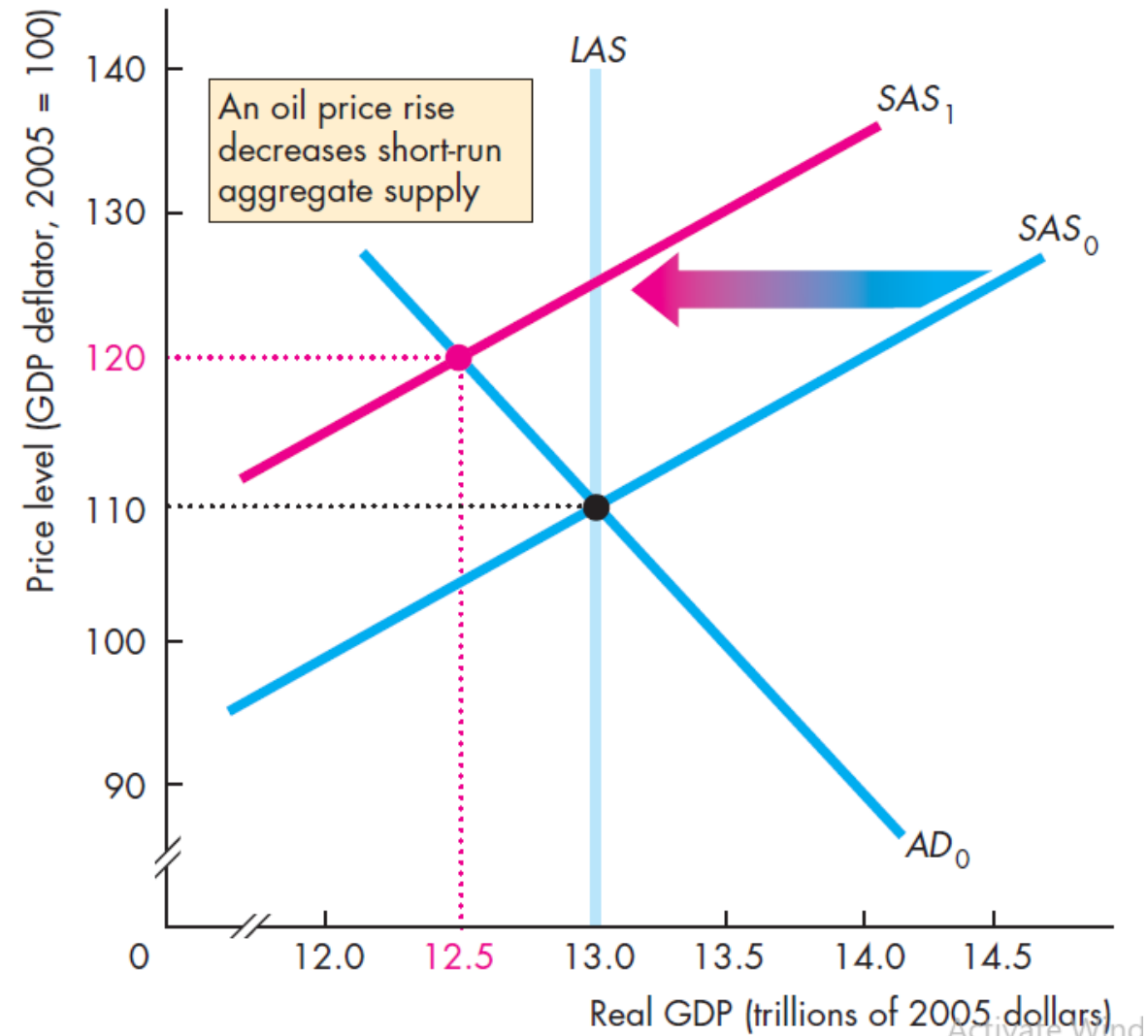
(a) Short-run effect



(b) Long-run effect

Fluctuations in Aggregate Supply

- An increase in the price of oil decreases short-run aggregate supply and shifts the short-run aggregate supply curve from SAS_0 to SAS_1
- A combination of recession and inflation is called **stagflation**, which is quite concerning for any economy



Question

THINK ABOUT HOW A GOVERNMENT CAN COMBAT A SERIOUS CASE OF STAGFLATION?